

RENANCE

FEDERAL UNIVERSITY, BIRNIN KEBBI

ACC 201 — Past Questions & Materials

by Renance

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Paper 1 of 1 — Acc 201 DOUBLE ENTRY BOOK KEEPING SYSTEM

Level 200 • First Semester • Handout

DEPARTMENT OF ACCOUNTING

FACULTY OF SOCIAL AND MANAGEMENT SCIENCES

FEDERAL UNIVERSITY BIRNIN KEBBI

ACC 201: FINANCIAL ACCOUNTING I

LECTURE SYNOPSIS

DOUBLE ENTRY BOOK KEEPING SYSTEM

Introduction

Every transaction has affected two items. Sometimes it has changed two assets by reducing one and increasing the other. In other cases, the effect has been different. However, in each case other than the very first (when the business was started by the owner injecting some cash into it), no change was made to the total of either section of the balance sheet and the equality between their two totals has been maintained.

Example of transaction Effect

(1) Owner pays capital into the bank Increase asset Increase capital

(Bank)

(2) Buy goods by cheque Decrease asset Increase asset

(Bank) (Stock of goods)

(3) Buy goods on credit Increase asset Increase liability

(Stock of goods) (Creditors)

(4) Sale of goods on credit Decrease asset Increase asset

(Stock of goods) (Debtors)

(5) Sale of goods for cash (cheque) Decrease asset Increase asset

(Stock of goods) (Bank)

(6) Pay creditor Decrease asset Decrease liability

(Bank) (Creditor)

(7) Debtor pays money owing by cheque Increase asset Decrease asset

(Bank) (Debtors)

(8) Owner takes money out of the business Decrease asset Decrease capital

bank account for own use (Bank)

(9) Owner pays creditor from private money Decrease liability Increase capital

outside the firm (Creditor)

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The Double Entry System

We have seen that every transaction affects two items. We need to show these effects when we first record each transaction. That is, when we enter the data relating to the transaction in the accounting books we need to ensure that the items that were affected by the transaction, and only those items, are shown as having changed. This is the bookkeeping stage of accounting and the process we use is called double entry. You will often hear it referred to as double entry

bookkeeping. Either term is correct.

Why do you think it is called 'double entry'?

If we want to show the double effect of every transaction when we are doing our bookkeeping, we have to show the effect of each transaction on each of the two items it affects. For each transaction this means that a bookkeeping entry will have to be made to show an increase or decrease of one item, and another entry to show the increase or decrease of the other item.

From this description, you will probably see that the term 'double entry bookkeeping' is a good one, as each entry is made twice (double entry).

The basis of this system is that the transactions which occur are entered in a set of accounts within the accounting books. An account is a place where all the information referring to a particular asset or liability, or to capital, is recorded.

Thus, there will be an account where all the information concerning office equipment will be entered. Similarly, there will be an account for buildings, where all the information concerned with buildings will be shown. This will be extended so that every asset, every liability and capital will each have its own account for transactions involving that item.

The accounts for double entry

Each account should be shown on a separate page in the accounting books. The double entry system divides each page into two halves. The left-hand side of each page is called the debit side, while the right-hand side is called the credit side. The title of each account is written across the top of the account at the centre.

This is the layout of a page of an accounts book:

Title of account written here

Left-hand side of the page Right-hand side of the page

This is the 'debit DR' side. This is the 'credit CR' side.

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ILLUSTRATIONS

1 Complete the following table: Account to Account to
be debited be credited

- (a) Bought office machinery on credit from D Isaacs Ltd.
- (b) The proprietor paid a creditor, C Jones, from his private funds.
- (c) A debtor, N Fox, paid us in cash.
- (d) Repaid part of loan from P Exeter by cheque.
- (e) Returned some of office machinery to D Isaacs Ltd.
- (f) A debtor, N Lyn, pays us by cheque.
- (g) Bought van by cash.

2 Complete the following table: Account to Account to
be debited be credited

- (a) Bought lorry for cash.
- (b) Paid creditor, T Lake, by cheque.
- (c) Repaid P Logan's loan by cash.

- (d) Sold lorry for cash.
- (e) Bought office machinery on credit from Ultra Ltd.
- (f) A debtor, A Hill, pays us by cash.
- (g) A debtor, J Cross, pays us by cheque.
- (h) Proprietor puts a further amount into the business by cheque.
- (i) A loan of N200 in cash is received from L Lowe.
- (j) Paid a creditor, D Lord, by cash.

3 Write up the asset and liability and capital accounts to record the following transactions in the records of BE-SERIOUS Ventures.

20X7

- July 1 Started business with N15,000 in the bank.
- 2 Bought office furniture by cheque N1,200.
- 3 Bought machinery N1,400 on credit from Trees Ltd.
- 5 Bought a van paying by cheque N6,010.
- 8 Sold some of the office furniture – not suitable for the business – for N150 on credit to D Twig & Sons.
- 15 Paid the amount owing to Trees Ltd N1,400 by cheque.
- 23 Received the amount due from D Twig & Sons N150 in cash.
- 31 Bought more machinery by cheque N650.

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4 You are required to open the asset and liability and capital accounts and record the following transactions for June 20X8 in the records of CARRY-OVER Entreprises.

20X8

- June 1 Started business with N12,000 in cash.
- 2 Paid N11,700 of the opening cash into a bank account for the business.
- 5 Bought office furniture on credit from Dream Ltd for N1,900.
- 8 Bought a van paying by cheque N5,250.
- 12 Bought equipment from Pearce & Sons on credit N2,300.
- 18 Returned faulty office furniture costing N120 to Dream Ltd.
- 25 Sold some of the equipment for N200 cash.
- 26 Paid amount owing to Dream Ltd N1,780 by cheque.
- 28 Took N130 out of the bank and added to cash.
- 30 F Brown lent us N4,000 – giving us the money by cheque.

5 Write up the asset, capital and liability accounts in the books of Saka to record the following transactions:

20X9

- June 1 Started business with N16,000 in the bank.
- 2 Bought van paying by cheque N6,400.
- 5 Bought office fixtures N900 on credit from Old Ltd.
- 8 Bought van on credit from Carton Cars Ltd N7,100.

12 Took N180 out of the bank and put it into the cash till.

15 Bought office fixtures paying by cash N120.

19 Paid Carton Cars Ltd a cheque for N7,100.

21 A loan of N500 cash is received from B Berry.

25 Paid N400 of the cash in hand into the bank account.

30 Bought more office fixtures paying by cheque N480.

6 Write up the accounts to record the following transactions:

20X7

March 1 Started business with N750 cash and N9,000 in the bank.

2 Received a loan of N2,000 from B Baba by cheque.

3 Bought a computer for cash N600.

5 Bought display equipment on credit from Coolcash Ltd N420.

8 Took N200 out of the bank and put it in the cash till.

15 Repaid part of Baba's loan by cheque N500.

17 Paid amount owing to Coolcash Ltd N420 by cheque.

24 Repaid part of Baba's loan by cash N250.

31 Bought a printer on credit from F Jones for N200.

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7 Enter the following transactions of an antiques shop in the accounts and extract a trial balance

as at 31 March 20X6.

20X6

March 1 Started in business with N8,000 in the bank.

2 Bought goods on credit from the following persons: L Frank N550; G Byers N290; P Lee N610.

5 Cash sales N510.

6 Paid wages in cash N110.

7 Sold goods on credit to: J Snow N295; K Park N360; B Tyler N640.

9 Bought goods for cash N120.

10 Bought goods on credit from: G Byers N410; P Lee N1,240.

12 Paid wages in cash N110.

13 Sold goods on credit to: K Park N610; B Tyler N205.

15 Bought shop fixtures on credit from Stop Ltd N740.

17 Paid G Byers by cheque N700.

18 We returned goods to P Lee N83.

21 Paid Stop Ltd a cheque for N740.

24 B Tyler paid us his account by cheque N845.

27 We returned goods to L Frank N18.

30 G Prince lent us N1,000 by cash.

31 Bought a van paying by cheque N6,250.

8 Record the following transactions for the month of January of a small finishing retailer, balance off all the accounts, and then extract a trial balance as at 31 January 20X8:

20X8

Jan 1 Started in business with N10,500 cash.

2 Put N9,000 of the cash into a bank account.

3 Bought goods for cash N550.

4 Bought goods on credit from: T Dry N800; F Hood N930; M Smith N160; G Low N510.

5 Bought stationery on credit from Buttons Ltd N89.

6 Sold goods on credit to: R Tong N170; L Fish N240; M Singh N326; A Tom N204.

8 Paid rent by cheque N220.

10 Bought fixtures on credit from Chiefs Ltd N610.

11 Paid salaries in cash N790.

14 Returned goods to: F Hood N30; M Smith N42.

15 Bought van by cheque N6,500.

16 Received loan from B Barclay by cheque N2,000.

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18 Goods returned to us by: R Tong N5; M Singh N20.

21 Cash sales N145.

24 Sold goods on credit to: L Fish N130; A Tom N410; R Pleat N158.

26 We paid the following by cheque: F Hood N900; M Smith N118.

29 Received cheques from: R Pleat N158; L Fish N370.

30 Received a further loan from B Barclay by cash N500.

30 Received N614 cash from A Tom.

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ACC 201: FINANCIAL ACCOUNTING I

LECTURE SYNOPSIS

CAPITAL AND REVENUE EXPENDITURE

Introduction

First and foremost, students need to be aware that 'Capital Expenditure' has nothing to do with the Owner's Capital Account. The two terms happen to start with the same first word, and they are both things that are likely to be around the business for quite a long time. While both are, in a sense, long-term investments, one made by the business, the other made by the owner, they are, by definition, two very different things. Before discussing the capital and revenue expenditures, it is important to know the difference between capital transactions and revenue transactions.

The Difference between Capital Transactions and Revenue Transactions

A business entity normally operates over many years, but prepares financial statements annually

(at the end of each financial year).

□ It spends money for both the long term, by investing in machinery, equipment and other assets.

□ It also spends money on day-to-day expenses, such as paying for supplies and services, and paying wages or salaries to employees.

□ It receives income from its business operations. It might also receive income from other sources, such as a new bank loan, or new capital invested by its owner.

A distinction is made between 'capital' and 'revenue' items:

□ Items of a long-term nature, such as property, plant and equipment used to carry out the operating activities of the business, are 'capital items'.

□ Items of a short-term nature, particularly items that are used or occur in the normal cycle of business operations, are 'revenue items'.

As an initial guide:

□ Capital items will be reported in the statement of financial position (balance sheet), because they are of a long-term nature.

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□ Revenue items are at some stage reported as income or expenses in the statement of comprehensive income.

1.1 Capital Expenditure

Capital expenditure may be defined as the cost of acquiring a non-current asset (fixed asset) for use in an organization. The earning potential or capacity of such assets will certainly last for more than one accounting period. In addition capital expenditure includes such costs that are incurred in adding value to existing non-current assets in order to improve their earning capacity.

Therefore, Capital expenditure is expenditure made to acquire or improve long-term assets that are used by the business.

Examples of Capital Expenditure are:

i. Purchase price of non-current assets such as motor vehicles, buildings, furniture and fittings, plant and machinery.

ii. Extension or any improvement of a permanent nature made to any structure.

iii. Legal fees of acquiring land or buildings

iv. The cost incurred in bringing any non-current asset to its present location.

v. Any other cost that must be incurred in getting the non-current assets ready for its intended use. Examples include:

□ Installation costs associated with new equipment;

□ Fees paid to raise long term finance are also deemed to be capital in nature. (To pay fees associated with raising long term finance).

Capital expenditure is recognized as a 'Capital Asset', a Fixed Asset or Non-Current Asset.

The International Accounting Standards Board (IASB) defines 'capitalization' as recognizing a cost as an asset or part of the cost of an asset. So when an item of cost is 'capitalized' it is treated as an asset rather than an expense.

In summary, capital expenditure is incurred when a business spends money either to; buy fixed assets, or add to the value of an existing fixed asset. Included in such amounts should be spending on:

- i. acquiring fixed assets
- ii. bringing them into the business
- iii. legal costs of buying buildings
- iv. carriage inwards on machinery bought
- v. any other cost needed to get a fixed asset ready for use

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It should be noted that capital expenditure not only consists of the cost of purchasing a fixed asset, but also includes other costs necessary to get the fixed asset operational. Some of the other possible additional costs are:

- a. Installation costs;
- b. Inspection and testing the fixed asset before use;
- c. Architects' fees for building plans and for supervising construction of buildings;
- d. Demolition costs to remove something before new building can begin.

1.2 Revenue Expenditure

Revenue expenditure is incurring of any cost in which its earning potential is exhausted within one accounting period. Such expenditures are not made to increase or improve the value of non-current assets but rather, are made for the maintenance and day-to-day running of the business. It is therefore an expenditure which is not spent on increasing the value of fixed assets, but on running the business on a day-to-day basis. The difference between revenue expenditure and capital expenditure can be seen clearly with the total cost of using a van for a business. Buying a van is capital expenditure. The van will be in use for several years and is, therefore, a fixed asset. Paying for petrol to use in the van is revenue expenditure. This is because the expenditure is used up in a short time and does not add to the value of fixed assets.

Examples of Revenue Expenditure are:

- i. Purchase of goods meant for resale in the normal course of business,
- ii. Purchase of raw materials and components used to manufacture goods for resale in the normal course of business,
- iii. Cost of repairing any non-current assets
- iv. Discount allowed on credit sales (debtors or receivables)
- v. Expenditures made to meet the day to day running costs of a business, for example, rent, energy, wages, insurance, telephone and electricity.
- vi. Expenditures made to distribute goods to customers
- vii. Costs of administering a business, for example, accounting services, licence fees etc.

Revenue expenditure is reported as expenditure in the statement of comprehensive income (profit and loss account).

1.3 Revenue Income and Capital Receipts

Revenue income is income arising from the normal operations of a business from its investments.

Revenue receipts are sales and other revenue items that are added to gross profit, such as rent receivable and commissions receivable. Examples include:

- Revenue from the sale of goods.

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- Commissions and fees received and receivable from the provision of a service.

- Interest received and receivable from savings.

- Rent received and receivable from letting out property.

Revenue is reported in the statement of profit or loss in the statement of comprehensive income.

Capital Receipts are receipts of 'long term' income, such as money from a bank loan, or new money invested by the business owners (which is called 'capital').

Capital receipts affect the financial position of an entity, but not its financial performance. Capital receipts are therefore excluded from the statement of comprehensive income.

Differences between Capital and Revenue Expenditure

The differences between capital and revenue expenditure can be clearly understood from two perspectives; time and type of account.

Differences Due to Time: Where the benefit that is derived from an item of expenditure is used up or exhausted within one accounting period, then such expenditure is revenue expenditure. However if the benefit derived from an item of expenditure extends to more than one period of account, it should be referred to as capital expenditure.

Differences Due to Type of Account: An increase in capital expenditure is recorded or debited to a non-current asset account, which eventually finds its resting place in the statement of financial position. All revenue expenditures are charged to the Statement of comprehensive income.

Incorrect Treatment of Expenditure

You already know that revenue expenditure is chargeable to the Trading and Profit and Loss Account, while capital expenditure will result in increased figures for fixed assets in the Balance Sheet; and that getting the classification wrong affects the profits reported and the capital account and asset values in the financial statements. It is, therefore, important that this classification is correctly done.

Therefore, expenditure is incorrectly treated if one of the following occurs:

- i. Capital expenditure is incorrectly treated as revenue expenditure, or
- ii. Revenue expenditure is incorrectly treated as capital expenditure, then both the balance sheet figures and trading and profit and loss account figures will be incorrect.

This means that the net profit figure will also be incorrect and, if the expenditure affects items in the trading account part of that statement, the gross profit figure will also be incorrect.

Hence, you should be careful not to incorrectly classify capital and revenue expenditure. As you can see from the above, the classification of capital and revenue expenditure has a direct impact on the resulting profit figure in the Trading and Statements of Comprehensive Income and also the assets values in the Statement of Financial Position.

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This is true because if you wrongly classify revenue expenditure as a capital expenditure, the total

expenses figure in the income statement will be understated. This will result in overstating the net profit of the business. Should the owner appropriate the profit for his personal use, it might lead to the collapse of the business since the owner is spending his capital instead of the profits or gains from the business.

It is generally observed that students generally find this topic very difficult to grasp. Trying to remember when something should be treated as capital expenditure and when something should be treated as revenue expenditure just seems too difficult to remember correctly.

Here are the simple rules to remember:

If expenditure is directly incurred in bringing a fixed asset into use for the first time, it is capital expenditure.

If expenditure improves a fixed asset (by making it superior to what it was when it was first owned by the organisation, e.g. building an extension to a warehouse), it is capital expenditure.

All other expenditures are revenue expenditure.

Illustration 1:

A business has two identical vehicles each with engine problems.

Vehicle A engine is repaired – costs associated with the repair are revenue expenditure

Vehicle B engine is replaced – this is capital expenditure.

Illustration 2:

Expenditure Type of Expenditure

1 Buying van Capital

2 Petrol costs for van Revenue

3 Repairs to van Revenue

4 Putting extra headlights on van Capital

5 Buying machinery Capital

6 Electricity costs of using machinery Revenue

7 We spent ₦1,500 on machinery: ₦1,000 was for an item Capital ₦1,000

(improvement) added to the machine; and ₦500 was for repairs Revenue ₦500

8 Painting outside of new building Capital

9 Three years later – repainting outside of building in (8) Revenue

Illustration 3:

The data which follows was extracted from the books of account of OVERSABI ENTERPRISES, an engineering company, on 31 December, 2015, financial year end.

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Purchase of extra milling machine (includes ₦300 for repair of an old machine) 2,900

Rent 750

Electrical expenses (includes new wiring ₦600, part of premises improvement) 3,280

Carriage inwards (includes ₦150 carriage on new cement mixer) 1,260

Purchase of extra drilling machine 4,100

You are required to allocate each or part of the items above to either 'capital' or 'revenue'

expenditure.

Illustration 4:

For the business of Dr Damages, wholesale chemist, classify the following between 'capital' and 'revenue' expenditure:

- i. Purchase of an extra van.
- ii. Cost of rebuilding warehouse wall which had fallen down.
- iii. Building extension to the warehouse.
- iv. Painting extension to warehouse when it is first built.
- v. Repainting extension to warehouse three years later than that done in (d).
- vi. Carriage costs on bricks for new warehouse extension.
- vii. Carriage costs on purchases.
- viii. Carriage costs on sales.
- ix. Legal costs of collecting debts.
- x. Legal charges on acquiring new premises for office.
- xi. Fire insurance premium.
- xii. Costs of erecting new machine.

Illustration 5:

For the business of DANBORNO, a food merchant, classify the following between 'capital' and 'revenue' expenditure:

- i. Repairs to meat slicer.
- ii. New tyre for van.
- iii. Additional shop counter.
- iv. Renewing signwriting on shop.
- v. Fitting partitions in shop.
- vi. Roof repairs.
- vii. Installing thief detection equipment.

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- viii. Wages of shop assistant.
- ix. Carriage on returns outwards.
- x. New cash register.
- xi. Repairs to office safe.
- xii. Installing extra toilet.

Illustration 6:

HAUWAU Ltd took delivery of a microcomputer and printer on 1 July 2015, the beginning of its financial year. The list price of the equipment was ₦49,990 but HAUWAU Ltd was able to negotiate a price of ₦40,000 with the supplier. However, the supplier charged an additional ₦3,400 to install and test the equipment. The supplier offered a 5% discount if HAUWAU Ltd paid for the equipment and the additional installation costs within seven days. HAUWAU Ltd was able to take advantage of this additional discount. The installation of special electrical wiring for the computer cost ₦1,100. After initial testing certain modifications costing ₦1,990 proved

necessary. Staff were sent on special training courses to operate the microcomputer and this cost ₦9,900. HAUWAU Ltd insured the machine against fire and theft at a cost of ₦490 per annum. A maintenance agreement was entered into with KULU plc. Under this agreement KULU plc promised to provide 24 hour breakdown cover for one year. The cost of the maintenance agreement was ₦3,500.

Required:

Calculate the acquisition cost of the microcomputer to HAUWAU Ltd.

The following costs were also incurred by HAUWAU Ltd during the financial year ended 30 June 2016:

- i. Interest on loan to purchase microcomputer
- ii. Cost of software for use with the microcomputer.
- iii. Cost of customising the software for use in HAUWAU Ltd's business.
- iv. Cost of paper used by the computer printer.
- v. Wages of computer operators.
- vi. Cost of ribbons used by the computer printer.
- vii. Cost of adding extra memory to the microcomputer.
- viii. Cost of floppy disks used during the year.
- ix. Costs of adding a manufacturer's upgrade to the microcomputer equipment.
- x. Cost of adding air conditioning to the computer room.

Required: Classify each of the above as capital expenditure or revenue expenditure.

Illustration 7:

Classify the following items as either revenue or capital expenditure:

- i. An extension to an office building costing ₦24,000.

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- ii. The cost of replacement valves on all the labelling machines in a canning factory.
- iii. Repairs to the warehouse roof.
- iv. Annual service costs for a courier firm's fleet of vans.
- v. Replacement of rubber tread on a printing press with a plastic one that has resulted in the useful economic life of the printing press being extended by three years.
- vi. A new bicycle purchased by a newsagent for use by the newspaper delivery boy.
- vii. Repairs to a refrigeration system of a meat wholesaler.
- viii. Repainting of the interior of a bar/restaurant which has greatly improved the potential for finding a buyer for the bar/restaurant as a going concern.
- ix. Wages paid to employees who worked on the construction of their company's new office building.

Illustration 8:

JBERGER, a building contractor, had a wooden store shed and a brick-built office which have carrying amounts in the books of ₦8,500 and ₦1,795,000 respectively. During the year, the wooden shed was pulled down at a cost of ₦2,650, and replaced by a brick-building. Some of the timber from the old store shed was sold for ₦1,800 and the remainder, valued at ₦1,000, was used in making door frames, etc., for the new store. The new brick-built store was constructed

by the builder's own employees, the expenditure thereon being materials (excluding timber from the old store shed) ₦47,500; wages ₦35,100; and direct expenses of ₦850. At about the same time, certain repairs and alterations were carried out to the office, again using the builder's own materials, the cost of which was: wages ₦2,900 and materials ₦4,600. It was estimated that ₦2,180 of this expenditure, being mainly that incurred on providing additional windows, represented improvements, 50% of this was wages, 50% materials.

You are Required to prepare the following four ledger accounts as they would appear after giving effect to all the above matters:

- (a) Wooden store shed account
- (b) Office buildings account
- (c) New store account
- (d) Office buildings repairs account

Illustration 9:

- a. Why is the difference between classifying something as capital expenditure rather than revenue expenditure, and vice versa, so important to the users of financial statements?
- b. 'Materiality' is a concept which sometimes has an effect on the capitalisation of amounts within a balance sheet. Give examples of how this may be done.

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